
THE NETHERLANDS 2006

1. Overview of the tax-benefit system

Dutch social security provides several incomes replacement schemes under the employee's insurance act (e.g. unemployment insurances), the national insurance act (e.g. child benefits) and the Act for work and social assistance. Earnings related unemployment insurance pays 70 per cent of the last earned wage for a period of time dependent on employment record. Short-term non-earnings related unemployment benefits pay 70% of the minimum income. Supplements are available for those whose benefits are lower than the minimum income. After the unemployment benefit expires, social assistance is available conditional on a means test and registration at the job office. A system of family related benefits is universally available. Housing costs can be covered by a separate individual benefit. Unemployment and social assistance are taxable, family and housing benefits are not. Earnings related benefits are based on gross earnings. In general, the information refers to the situation on 1st January and 1st July 2005.

1.1. *Average Worker wage (AW¹)*

The 2006 AW level is EUR 40 800.

1. AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2005-2006, OECD, 2007, part 5, sections 2 and 3.

2. Unemployment insurance

The unemployment benefit (WW) includes two types of benefits:

1. the earnings related benefit (half a year up till 5 years depending on employment record),
2. the short-term benefit (max. half a year) for persons that are not eligible for 1. (minimum-wage related benefits)

The unemployment benefits might be supplemented by the “Supplementary Benefits Act” (TW), if the benefit is below minimum income.

2.1 Conditions for receipt

Entitlement to unemployment benefits dependent on the claimant seeking employment and being registered with the local employment agency.

2.1.1 Employment conditions

- *Earnings-related benefit*: to have worked 26 weeks in the last 36 weeks immediately preceding unemployment, plus to have worked at least 52 days or more during four of the last five years. Calendar years during which the person cared for children under 6 count for 50% of this requirement.
- *Minimum-wage related benefit (short-term)*: 26 weeks in the last 36 weeks immediately preceding unemployment.

2.1.2 Contribution conditions

- *Earnings-related benefit*: at least 52 days in paid employment (hence contributed) in four of the last five years preceding unemployment. Insurance is compulsory for employees.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

Salary-related unemployment benefit is 70 per cent of former gross earnings up to a maximum daily wage of EUR 170.33 per day (5 days per week, that is EUR 44285.8 per year).

Minimum-wage related benefit is 70% of the minimum wage (or 70% of the daily wage if this is less than the minimum wage, i.c. because of part-time work.)

Gross minimum wage per month, 2006 (in EUR)

		Including holiday pay
Year	1272.60	1374.40

The gross minimum holiday pay is 8% of the gross minimum wage.

Supplementary Benefits Act (TW)

The TW provides assistance to people who get a benefit from one of the employee insurance schemes (such as the WW, Wajong, WAO, or ZW schemes) if their income (plus that of their partner) falls below the minimum guaranteed income (this being the gross legal minimum wage plus 8 per cent holiday pay divided by 21.75).

Supplementary benefit equals the difference between the applicable minimum guaranteed income level and the total income of the beneficiary and his or her partner.

As of 1 January 2006, the minimum guaranteed incomes were set as the following gross amounts

Family situation	Per cent of minimum wage
Single person	70%
Lone parents	90%
Married persons and couples living together	100%

The term “income” covers all work-related earnings, including most social security benefits, of claimants and their partner. Any property such as a private home, or capital such as savings, is disregarded.

For two years at most, part of the work-related income (up to a maximum of 15% of the minimum wage) is disregarded. The maximum period of two years does not account for persons older than 57.5 years.

Supplementary benefit will never be more than the difference between the daily earnings or the basis on which the benefit has been calculated and the benefit to recompense for loss of income.

There is no entitlement to supplementary benefit:

- For unmarried persons under 21 living with their parents.
- For persons living with a partner (either married or not) born after 31 December 1971 who do not have any children under 12 living at home.

2.2.2 *Income and earnings disregards*

If the claimant works less than 5 hours/week, gross benefit is reduced by 70 per cent of gross earnings.

If hours exceed 5, the total benefit is reduced in proportion to the number of hours worked

2.3 *Tax treatment of benefit and interaction with other benefits*

Taxable

2.4 *Benefit duration*

The duration of the earning-related benefit varies with the employment record. In this table it is assumed that the person has been working full time from 18 years of age onwards.

Duration of the earning-related benefit

Employment (years)	Duration (extended benefit)
4	6 months
5 to 10	9 months
10 to 15	12 months
	(6 month increase for every additional 5 years of employment)
35 to 40	48 months
>= 40	60 months

Short-term benefit: 6 months.

2.5 *Treatment of particular groups*

2.5.1 *Young persons*

None.

2.5.2 *Older workers*

Employees of 55 years or older who excepted a lower paid function or who started working less hours keep the right on a wagherelated unemployment insurance based on there last full-time salary (with a max. of 90% from the daily wage after reducing the salary).

Benefit stops with the person turning 65 years of age.

2.5.3 *Others if applicable*

part-time: If hours exceed 5, the total benefit is reduced in proportion to the number of hours worked

3. Unemployment assistance

3.1 Conditions for receipt

3.1.1 *Employment conditions*

3.1.2 *Contribution conditions*

3.2 Calculation of benefit amount

3.2.1 *Calculation of gross benefit*

3.2.2 *Income and earnings disregards*

3.3 ***Tax treatment of benefit and interaction with other benefits***

3.4 ***Benefit duration***

3.5 ***Treatment of particular groups***

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable*

4. Social assistance

The Dutch National Assistance Act guarantees a minimum income to any Dutch inhabitant who does not have sufficient means of existence. Beneficiaries are mainly persons who are no longer entitled to benefits under the social insurance schemes such as unemployment insurance benefits and disability benefits and persons without a work record.

4.1 Conditions for receipt

Entitlement to social assistance is – in general - dependent on the claimant seeking employment and being registered with the local employment agency

4.2 Calculation of benefit amount

General social assistance payments are intended to cover normal costs of living, including the costs of food, housing, heating, furniture and recreation. The Dutch national government specifies three minimum basic benefit payment rates. There are three basic rates for persons between 21 and 65 years of age related to family composition.

4.2.1 Calculation of gross benefit

General social assistance (Wwb) in 2006

Family situation	Proportion of the subsistence minimum	Gross yearly benefit incl.. holiday pay	Corresponding net yearly benefit	
			Holiday allowance: excluded	included
Couples	100%	17 531,90	13 746,36	14 454,60
Lone parent families*	90%	16 076,74	12 371,76	13 009,20
Single, 21 or older*	70%	13 604,64	9 622,44	10 118,22

* 20% is awarded by municipalitites

4.2.2 Income and earnings disregards

General assistance: no disregards; one-to-one income-test using the household net income. Family benefits and individual housing benefits are excluded from the income-test. Savings and assets worth over EUR 5 180 (EUR 10 360 for couples and lone parents) are taken into account. The own dwelling is disregarded only up to a certain maximum EUR 43 700 If the value of the house minus the mortgage exceeds this maximum, the recipient can get social assistance as a loan.

The exception to the rule of the one-to-one income test is for social assistance recipients who start working. The municipality can decide that a social assistance recipient is allowed to keep a certain amount of earnings from work: during 6 month 25% of the earnings up to a maximum of EUR 173 per month. It is up to the municipality to decide this and to decide the level of disregard. After six month the general rule of one-to-one incometesting is resumed.

Disregarded are always: a bonus for assistance recipients that took up work (EUR 2 066) and compensation payments for voluntary work up to EUR 95 per month with a maximum of EUR 764 per year

NB. Wanneer het betreft vrijwilligerswerk in het kader van een voorziening gericht op arbeidsinschakeling wordt niet in aanmerking genomen EUR 150 per maand met een maximum van EUR 1500 per jaar.

4.3 *Tax treatment of benefit and interaction with other benefits*

The level of general assistance is defined on its net value; a net income level is guaranteed.

The income taxes on the social assistance benefit are not paid by the recipient, who thus receives a net benefit, but are transferred to the tax inspector by the municipality that is administering the benefit.

4.4 *Benefit duration*

- General assistance (Wwb): as long as there is a need.

4.5 *Treatment of particular group*

4.5.1 *Young persons*

Young people between 18 and 21 years of age are deemed to be in work, education or in the WIW (Law Involving Sheltered Employed). Furthermore, until the age of 21 parents are supposed to provide financial support to their children. Therefore, municipalities are only obliged to provide benefits to applicants in this age group in exceptional circumstances. For a young person only sickness insurance contributions need to be paid from gross benefits.

General national assistance for young persons in 2006	Net yearly benefit	Net yearly benefit	Gross yearly benefit
	Excluding holiday pay	Including holiday pay	Including holiday pay
Single < 21 years with children	5 124,48	5 388,48	5 738,73
One is >21 years and one is <21, with children	11 997,72	12 615,96	14 454,48
Both <21 years old, with children	7 499,52	7 886,04	8 398,64
Single <21 years, no children	2 375,16	2 497,56	2 659,90

Both <21 no children	4 750,32	4 995,12	5 319,80
One>21 one<21, no children	9 248,40	9 724,92	10 357,04

Jeroen, het zou consequent zijn als je tabel cf personen 21-65 zou inrichten, dus eerst bruto dan netto

4.5.2 *Older workers*

4.5.3 *Others if applicable*

Lone parents must start looking for work if their youngest child is 5 years or older.

Housing benefits

Housing benefit is based on rent levels restricted by minima and maxima and dependent of gross family income. Housing benefits must be applied for separately from social assistance. They are also separately paid and calculated from social assistance benefits. However, the social assistance income level is generally that low that all benefit recipients should be entitled to housing benefits as well, if they apply for it. Housing benefits will be calculated from the social assistance benefit or the gross unemployment benefit as reference for the income.

5.1 *Conditions for receipt*

All families, whether dependents are present or not, are eligible.

5.2 *Calculation of benefit amount*

5.2.1 *Calculation of gross benefit*

Housing benefit is based on current rent levels and taxable income. The underlying principle is that every household always pays part of the rent itself. This is referred to as the “standard rent”. In 2006 the monthly standard rent for people with a minimum income was EUR 196 (households with two or more people aged 65 or older), EUR 198 (a person aged 65 or older living alone) and EUR 200 (households containing people under 65). There was a higher standard rent for people with a higher income.

The process for awarding housing benefits 2006 (1 July-31 December)

Step 1: Determines the kind of household

The standard rent (in Dutch basishuur) is the minimum amount of rent a household has to pay themselves. It depends on the size of the household and the age of the inhabitants. There are 4 different standard rent tables (see Annex A). The table show for each kind of household the standard rent according to the calculated income (rekeninkomen) of the particular household type. The following kind of households are defined:

- Single person household (single on 1-1-2006 younger than 65 years);
- More person household (min 2 persons; primary earner younger than 65 years on 1-1-2006)
- Single person household (single 65 years or older on 1-1-2006)
- More person household (min 2 persons; primary earner 65 years or older on 1-1-2006).

The composition of the household and the age of the inhabitants is of importance for the own contribution (standard rent of normhuur) and the maximum level (aftoppingsgrens, huurprijs; the level at which no subsidy or only 50% of the subsidy can be awarded) and the maximum means level (Vermogensgrens).

Step 2: Determines the maximum rent level (aftoppingsgrens)

The maximum level for a full benefit is the rent above which level in principle no subsidy is paid. For a one- or two person household the maximum rent level is € 485, for a household with 3 or more persons it is € 520.

If the rent is higher than the maximum rent level, only 50% rent subsidy is paid for the exceeding amount, if it considers a single person household or a household with at least one person above 65 years or a handicapped person in adjusted accommodation.

Note, the maximum rent level for a person younger than 23 years is € 339.

Step 3: Determines the calculated income

In order to determine the rent subsidy a specific calculated income (rekeninkomen) is estimated. This is the total income of the persons belonging to the household in the current year (2006) based on previous tax reports including:

Taxable income:

- income from work and accommodation
- rent from capital income
- interests

From the year 2006 there are no standard tax credits anymore to deduct from the taxable income. Afterwards, the (estimated) taxable income is confronted with actual taxable income. The difference in actual and estimated income may leads to a different rent subsidy, which will be recalculated and settled with the receiver.

Step 4: determine the standard rent

All income of the household is summarized. For children up to 23 years an amount of € 4137. Euro is excluded from the calculations.

In the standard rent table the household type can be seen (own contribution) that belongs with the calculated income.

Step 5: Determine the calculated rent (rekenhuur)

A specific calculated rent will be calculated which forms the basis for the rent subsidy. This amount is depending on a number of factors, such as upkeep costs.

Step 6 – calculate the amounts to be subsidized at 100%, 75%, and 50%.

Three levels of benefit are paid in the case of rents above the standard rent:

The difference between the standard rent and the “quality allowance limit” (EUR 339 in 2006) is paid completely (=100%).

75% of the costs of any additional rent above the “quality allowance limit” is paid. The idea behind this is that people should pay a contribution if they rent a more expensive (and therefore better quality) home.

The amount by which the rent exceeds the “cap” (in 2006 this is EUR 485 for one and two person households and EUR 520 for three or more person households) is only eligible for benefit in the case of people aged 65 and older, people living alone and the handicapped. They receive benefit amounting to 50%.

Monthly house rents up to EUR 615 qualify for housing benefits.

5.2.2 *Income and earnings disregards*

Households are eligible for housing benefits if their income is lower than EUR 20 000 for a single younger than 65, or EUR 27 175 for a household (highest earner must be younger than 65) others, or EUR 17 950 for a single aged 65 or older, or EUR 23 825 for a household if the highest earner is 65 years or older.

Next, their capital income must be lower than EUR 19 698 for a single younger than 65 or EUR 39 396 for a household (highest earner must be younger than 65), or EUR 19 698 for a single aged 65 or older, or EUR 39 396 if the highest earner is 65 years or older .

5.3 *Tax treatment of benefit*

Not taxable

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

The maximum rent level above which benefits cannot be calculated are EUR 339 per month.

5.4.2 Older workers

None.

Annex A - Standard rent table (Normhuurtabellen Huurtoeslag) 2006(1 July-31 December)

Standard rent table single household (< 65)

Min. level	Max. level	Standard rent
€ 0	14.125	199,52
14.126	14.225	205,91
14.226	14.450	210,11
14.451	14.675	216,01
14.676	14.900	221,99
14.901	15.125	228,06
15.126	15.350	234,22
15.351	15.575	240,47
15.576	15.800	246,80
15.801	16.025	253,23
16.026	16.250	259,74
16.251	16.475	266,34
16.476	16.700	273,03
16.701	16.925	279,81
16.926	17.150	286,68
17.151	17.600	297,15
17.601	18.050	311,41
18.051	18.500	326,03
18.501	18.950	341,01
18.951	19.400	356,33
19.401	19.850	372,02
19.851	20.000	382,67

Standard rent more persons household (< 65)

Min. level	Max. level	Standard rent
€ 0	18.075	199,52
18.076	18.225	206,82
18.226	18.450	210,52
18.451	18.675	215,00
18.676	18.900	219,54
18.901	19.125	224,12
19.126	19.350	228,76
19.351	19.575	233,45
19.576	19.800	238,18

19.801	20.025	242,97
20.026	20.250	247,82
20.251	20.475	252,71
20.476	20.700	257,65
20.701	20.925	262,65
20.926	21.150	267,69
21.151	21.600	275,36
21.601	22.050	285,75
22.051	22.500	296,36
22.501	22.950	307,16
22.951	23.400	318,18
23.401	23.850	329,39
23.851	24.300	340,81
24.301	24.750	352,44
24.751	25.200	364,27
25.201	25.650	376,30
25.651	26.100	388,54
26.101	26.550	400,98
26.551	27.000	413,63
27.001	27.175	422,54

Standard rent single household (> 65)

Min. level	Max. level	Standard rent
€ 0	13.850	197,70
13.851	13.900	205,52
13.901	14.125	210,36
14.126	14.350	218,41
14.351	14.575	226,62
14.576	14.800	234,98
14.801	15.025	243,50
15.026	15.250	252,18
15.251	15.475	261,01
15.476	15.700	270,00
15.701	15.925	279,14
15.926	16.150	288,44
16.151	16.375	297,90
16.376	16.600	307,52
16.601	16.825	317,29
16.826	17.275	332,23
17.276	17.725	352,71
17.726	17.950	368,48

Standard rent more persons household (> 65)

Min. level	Max. level	Standard rent
€ 0	17.825	195,89
17.826	17.900	204,67
17.901	18.125	208,63
18.126	18.350	214,65
18.351	18.575	220,75
18.576	18.800	226,95
18.801	19.025	233,23
19.026	19.250	239,60
19.251	19.475	246,06
19.476	19.700	252,61
19.701	19.925	259,25
19.926	20.150	265,98
20.151	20.375	272,80
20.376	20.600	279,71
20.601	20.825	286,71
20.826	21.275	297,37
21.276	21.725	311,90
21.726	22.175	326,79
22.176	22.625	342,04
22.626	23.075	357,64
23.076	23.525	373,60
23.526	23.825	387,18

6. Family benefits

6.1 Conditions for receipt

All children under 18 qualify for child benefits.

6.2 Calculation of benefit amount

6.2.1 Calculation of gross benefit

Children born from 1 January 1995

In EUR per child, per 3 months

Age	2006
0-6 years	179.63
6-12 years	218.13
12-18 years	256.62

Children born before 1 January 1995

In EUR per child, per 3 months

Families with	2006	
	Age 6-12 (85%)	Age 12-18 (100%)
1 child	218.13	256.62
2 children	246.40	289.88
3 children	255.82	300.96
4 children	279.52	325.32
5 children	288.95	339.94
6 children	297.24	349.69

Please note that the indexation of the child benefit has been frozen.

6.2.2 *Income and earnings disregards*

These benefits are not income related; they are not included in any means test.

6.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

6.4 *Treatment of particular groups*

6.4.3 *Others if applicable*

Since 1 May 1997 parents of handicapped children can get a supplementary benefit, as a partial compensation of the extra costs (TOG-arrangement). Age of the children: 3-18 years. Benefit for parents of handicapped children (mental and physical): EUR 199.28 per 3 months.

At the end of 2004 214.000 children in the age up to 4 years visit childcare which is 26% of the total number of children in the corresponding age (817.000).

Compulsory education starts at the age of 5.

7.1 *Out-of-pocket childcare fees paid by parents*

[What are the typical or average fees paid by parents for full-time formal centre-based care? Could a parent working 40 hours per week expect to pay this fee? If not, what additions/reductions would be appropriate for someone requiring 40 hours of care per week (8 hours per day)?]

[what do rates depend on, eg. parents' status or income, number and ages of children in care or type of care institution? If fees are dependent on any of these, please include a detailed description of how fees might be calculated.]

[are amounts averages or legislated? If averages, which circumstances do they cover (region, age, full/part-time)?]

[are childcare fees tax deductible?]

[are fees taken into account when determining entitlement to benefits such as social assistance?]



A new law, the Childcare Act, came into effect on January 1st 2005. This law reforms the system. 'Demand-side funding' provided via parents replaces 'supply-side funding' provided by the municipal authorities. This means that childcare organisations will increasingly be subject to market forces.

The Childcare Act provides for a new method of financing childcare. The bill assumes that parents, employers and government collectively bear the costs of childcare. The expectation is that in 2005 68 per cent of employees will be able to receive a contribution for childcare from their employer. The target figure is 90 per cent by 2008. The government gives partial compensation to parents who do not receive a contribution from their employer. From 2006, the compensation scheme will be gradually dismantled. From 2009, only parents with an income of up to € 45,000 will retain the right to partial compensation.

Through the Tax Department, parents receive the amount that the government contributes to childcare themselves. The direct subsidising of facilities will cease as a result. Parents receive a contribution from the government that depends on: their income, the number of children and the price of the day care. The contribution of the government covers a percentage of the actual costs: a high percentage for lower incomes counting down to zero for annual incomes above € 78.000

In this system the out-of-pocket childcare fees paid by parents can be described as the actual price of the day care (€ 5 - € 6 per hour) minus the contributions of the employer and the government

7.2 *Child-care benefits*

Comment follows next week.

The benefit parents can receive are described in 7.1

7.2.1 *Conditions for receipt*

Parents have to meet the following conditions in order to receive the child-care benefit:

- Working parents;
- One of the parents unemployed and looking for a job;
- Single working parents;
- Immigrants taking part in a integration course;
- Child care is needed for the development of the child
- Use of formal day care that complies to standard quality regulations;

7.2.2 *Calculation of benefit amount*

7.2.2.1 Calculation of gross benefit

The benefit is calculated as a percentage of the total costs of the child care starting with a contribution of 63,2% of the costs at an annual income up to € 16.000 going down in 47 steps to 0% at an income more than € 97000.

7.2.2.2 Income and earnings disregards

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7.2.3 *Tax treatment of benefit and interaction with other benefits*

The childcare benefit is not taxable

7.2.4 *Treatment of particular groups*

see 7.2.1.

8. Employment-conditional benefits

An extra single-parent tax credit exists for working lone parents and a tax-credit for all working parents (see section 10.1.1).

8.1 *Conditions for receipt*

8.2 *Calculation of benefit amount*

8.2.1 *Calculation of gross benefit*

8.3 *Tax treatment of benefit and interaction with other benefits*

8.4 *Benefit duration*

8.5 *Treatment of particular group*

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable*

[e.g. lone parents, immigrants, part-time employees, self-employed, disabled]

9. Lone-parent benefits

There is a special tax credit (see section 10), and lone parent families have a specific minimum basic benefit rate (see section 4), but specific benefits do not exist. (see section 10).

9.1 *Conditions for receipt*

9.2 *Calculation of benefit amount*

9.2.1 *Calculation of gross benefit*

9.2.2 *Income and earnings disregards*

9.3 *Tax treatment of benefit and interaction with other benefits*

9.4 *Benefit duration*

9.5 *Treatment of particular group*

9.5.1 *Young persons*

9.5.2 *Older workers*

9.5.3 *Others if applicable*

[e.g. immigrants, part-time employees, self-employed, disabled]

10. Tax system

[Note: there is **no need** to update most information on taxes and social contributions as this information is already being collected by the OECD Centre for Tax Policy and Administration. However, please update the tax and social contribution information as it relates to benefit income (unemployment, family benefits, child care benefits, etc.).]

10.1 Income tax

There are three categories ('boxes') of taxable income:

- Taxable income from work and owner-occupied housing
- Taxable income from a substantial interest in a limited liability company
- Taxable income from savings and investments.

This description is limited to most relevant aspects of taxable income from the first category, 'taxable income from work and owner-occupied housing', because of its relevance for the AW.

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

Related to wage earnings:

- Employees' social security contributions are deductible with the exception of the health insurance contribution. The employers' health insurance contribution is subject to tax.
- For distances of more than 10 km between home and work, fixed amounts for travel expenses with public transportation are deductible. The maximum deduction for employees who travel by public transport is EUR 1 816 for distances of more than 80 km. If the travel expenses are reimbursed or the employer provides transport, there is no deduction; the reimbursement is untaxed (also for employees who travel by car) if below certain specified amounts.
- Employee contributions to private (company provided) pension schemes.

Related to owner-occupied housing:

- Excess of mortgage interest over net imputed rent.

Related to personal circumstances:

- *Medical expenses and other exceptional expenses:* for a single person the expenses are deductible in excess of 11.5 per cent of the income if the income is more than EUR 6 783. If the income is lower than or equal to EUR 6 783 the non-deductible limit is EUR 780. For a person with a partner, the joint income is used to determine the non-deductible amounts.
- *Some educational expenses:* in direct connection with vocational education. Expenses above the threshold of EUR 500 are deductible. Expenses above EUR 15 000 are not deductible;
- Donations to certain institutions (charity) that serve the public good are deductible if in excess of 1 per cent of the income and in excess of EUR 60. No more than 10 percent of the income may be deducted in this way.

10.1.1.2 Standard tax credits

The tax credits are applied to the combined amount of income tax levied and premiums paid for the general social security schemes (see Section 1.13). The share of the credit attributed to tax is related to the ratio of the tax rate to the sum of the tax rate and the social security contributions rate in the first bracket of the tax schedule. As that ratio is currently 7.2 percent ($= 2.45\% / (2.45\% + 31.7\%)$), only 7.2 percent of the (tax) credit is attributed to tax; the remaining 92.8 percent being attributed to the social security contributions. In the country tables the social security contributions on taxable income are net of credits.

- *General tax credit.* This credit amounts to EUR 1 990.
- *Work credit:* This credit is the sum of 1.795 percent of the income from work with a maximum of EUR 146 and 12.421 per cent of the income from work with a franchise of EUR 8 132. The maximum work credit is EUR 1 357;
- *Child credit:* A single person with children below 18 years of age receives a credit of EUR 924 if his or her income does not exceed EUR 28 521. A taxpayer with a partner is only entitled to the child credit if his or her income exceeds the income of the partner and the joint income does not exceed EUR 44 591; If the joint income is higher than EUR 28 521 and lower than EUR 44 591 the child credit declines with 5.75% of the difference between the joint income and EUR 28 521.
- *Combination credit:* A taxpayer with children below the age of 12 years is entitled to a combination credit of EUR 146, if his/ her income from work exceeds EUR 4 405;
- *Additional combination credit:* A taxpayer who is entitled to the combination credit and who is either a single parent or the partner with the lowest income receives an additional credit of EUR 608.
- *Single parent credit:* A single parent under certain conditions is entitled to the single parent credit of EUR 1 414;
- *Additional single parent credit:* A single parent who is entitled to the single parent credit receives an additional credit of 4.3 per cent of his or her income from work, with a maximum of EUR 1 414.

The amount of the tax credit is limited to the amount of tax & premiums payable (wastable). If, however, a taxpayer with insufficient income to fully exploit his/her tax credit has a partner with a surplus of tax & premiums payable over his/her own tax credit, the tax credit of the former taxpayer is increased by (at most) the surplus tax & premiums payable by his/ her fiscal partner. As a consequence, the tax credit

of the former taxpayer will exceed tax & premiums payable, resulting in a payout of the residual tax credit to the taxpayer by the tax authority.

10.1.2 *Income tax schedule*

The tax schedule for income from work and owner-occupied housing is as follows:

Slice of Taxable Income (EUR)	Tax Rate (%)	Social securities contributions	
		< 65 years	> 65 years
0 – 17 046	2.45	31.7	13.8
17 046 – 30 631	9.75	31.7	13.8
30 631 – 52 228	42	-	-
52 228 and over	52	-	-

The contributions for the general social security schemes are levied on the first and second slice of income from work and owner-occupied housing. These social security contributions are not deductible for income tax purposes. Individuals of 65 years and over pay 13.8 per cent (for widows and orphans pensions and exceptional medical expenses) and individuals younger than 65 years pay 31.7 per cent (for widows and orphans pensions, exceptional medical expenses, and old age income provision). For further information see Section 2.1.

10.1.3 *State and local income taxes*

These are not used in the Netherlands.

10.2 *Treatment of family income*

Husband and wife are taxed separately on their personal income, which includes, besides income from business, profession and employment, all pensions and social security benefits. Certain parts of income may be freely split between husband and wife, such as the net-income from owner-occupied housing and the income from savings and investments.

10.3 *Social security contribution schedule*

Employees' contributions:

- Unemployment: 5.2 per cent of gross wage less compensation allowance (ceiling EUR 43 855) with a franchise of EUR 15 138 (this contribution is only for the general unemployment fund).

- For basic insurance each adult pays a fixed amount of standard EUR 939 a year. Also a percentage 6.5 per cent of gross earnings is paid until a maximum of gross earnings of EUR 30015. For the last contribution, an employee receives mandatory compensation of his employer for the same amount. This amount is included in the taxpayer's taxable income. Furthermore, taxpayers can receive the "care benefit". This cash transfer depends on de household situation and income compensation. It is calculated by a formula
- **As of January 2006, a new insurance system for curative healthcare came into force in the Netherlands. Under the new Health Insurance Act (Zorgverzekeringswet), all residents of the Netherlands are obliged to take out a health insurance.**

Private insurance, social conditions

The new system is a private health insurance with social conditions. The system is operated by private health insurance companies; the insurers are obliged to accept every resident in their area of activity. A system of risk equalisation enables the acceptance obligation and prevents direct or indirect risk selection.

The insured >18 pay a nominal premium to the health insurer (average in 2006 €1038). Everyone with the same policy will pay the same insurance premium. The Health Insurance Act also provides for an income-related contribution to be paid by the insured. Employers contribute by making a compulsory payment towards the income-related insurance contribution of their employees (both 6,5% of taxable income with maximum at an income of €30015). This is the same for unemployed and disabled people (they also receive the compulsory payment). Other insured without employer pay 4,4% of taxable income.

Essential healthcare

The new health insurance comprises a standard package of essential healthcare. The package provides essential curative care tested against the criteria of demonstrable efficacy, cost effectiveness and the need for collective financing.

Former situation

Before 2006, there were two types of health insurances: compulsory and voluntarily. Employees, people entitled to a social benefit and self-employed people with incomes to a certain level were compulsorily insured under the Social Health Insurance Act (Ziekenfondswet). People on a higher income could choose to either take out a private health insurance or to go through life uninsured.

General schemes (levied combined with income tax on income from work and owner-occupied housing):

- Old age pension: 17.9 per cent of taxable income in the first and second tax bracket. This scheme does not apply to individuals aged 65 or over;
- Widows and orphans pension: 1.25 per cent of taxable income in the first and second tax bracket;
- Exceptional medical expenses and disability: 12.55 per cent of taxable income in the first and second tax bracket.

10.4 *Treatment of particular group*

10.4.1 *Young persons*

10.4.2 *Older workers*

10.4.3 *Others if applicable*

[e.g. **part-time employees**]

11. Part-time work

[please update information provided for previous years]

11.1 *Benefit rules for part-time work*

Seasonal workers have different qualifying conditions for the basic unemployment insurance benefit.

11.2 *Special tax and social security contribution rules for part-time work*

12. Policy developments

[please update information provided for previous years]

12.1 *Policy changes introduced during the previous year*

a) Change to a demand driven child care system in 2005

A change in child care subsidies will be introduced in 2005 in order to give parents more possibilities to combine freely care responsibilities and child care. The new regulation is also meant to reduce the price of child care which has raised a lot during recent years by introducing more rights for parents and employers to contract child care facilities. The law regulates formal child care arrangements for children 0-4 years, child care arrangements for children 4-12 during non-school hours, child care provided by host parents and child care arranged in a formal way through time sharing by parents. It also includes regulations with regard to the quality of child care.

Child care arrangements should be paid jointly by parents, government and employers. All contributors should pay equal parts, in principle 1/3 of the costs. The contribution of the employer is not obligatory, but collective agreements contain more and more agreements on financial contribution for child care. If the employer and/or the partner is not contributing to the costs of child care, the government compensates a part of the costs. The amount the government compensates depends on the income of the person:

- if the income is less than Euro 45 000,- than a partial compensation is paid.
 - if the income is less than Euro 45 000,- than the government will only pay a partial compensation until 2006. (The amount of compensation will decline until 2009: in 2005: 90%; 2006: 60%; 2007: 30%; 2008: 10%. In 2009 no compensation will be paid anymore.)
- (the specific amount for 2005 could be sent on request)

Additional obligations:

The government only contributes if the person is combining work and care obligations for children of belongs to a group that has free access to child care, such as parents that re-enter the labour market by a reintegration measure, parents following an integration course, parents receiving a benefit and being currently on a reintegration measure, teenage mothers and students.

12.2 *Policy changes announced*